When we watch entrepreneurs succeed in the mythmaking world of Hollywood, books, and magazines, the story is always structured the same way. First, we see the plucky protagonist having an epiphany, hatching a great new idea. We learn about his or her character and personality, how he or she came to be in the right place at the right time, and how he or she took the dramatic leap to start a business.

Then the photo montage begins. It's usually short, just a few minutes of time-lapse photography or narrative. We see the protagonist building a team, maybe working in a lab, writing on whiteboards, closing sales, pounding on a few keyboards. At the end of the montage, the founders are successful, and the story can move on to more interesting fare: how to split the spoils of their success, who will appear on magazine covers, who sues whom, and implications for the future.

Unfortunately, the real work that determines the success of startups happens during the photo montage. It doesn't make the cut in terms of the big story because it is too boring. Only 5 percent of entrepreneurship is the big idea, the business model, the whiteboard strategizing, and the splitting up of the spoils. The other 95 percent is the gritty work that is measured by innovation accounting: product prioritization decisions, deciding which customers to target or listen to, and having the courage to subject a grand vision to constant testing and feedback.

One decision stands out above all others as the most difficult, the most time-consuming, and the biggest source of waste for most startups. We all must face this fundamental test: deciding when to pivot and when to persevere. To understand what happens during the photo montage, we have to understand how to pivot, and that is the subject of Chapter 8.